



Manage financial performance within a budget

D1.HFI.CL8.03

D1.HFA.CL7.02

D2.TRM.CL9.09D2.TRM.CL9.09

Assessor Manual



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D2.TRM.CL9.09

Assessor Manual

Project Base

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The ASEAN Secretariat is based in Jakarta, Indonesia.

General Information on ASEAN appears online at the ASEAN Website: www.asean.org.

All text is produced by William Angliss Institute of TAFE for the ASEAN Project on “Toolbox Development for Tourism Labour Divisions for Travel Agencies and Tour Operations”.

This publication is supported by the Australian Government’s aid program through the ASEAN-Australia Development Cooperation Program Phase II (AADCP II).

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File name: AM_Manage_fin_perf_within_budget_280415

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Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested Assessment Methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative Assessment Methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes

- Case studies
- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of Assessment Methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing Competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region.

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of Practice for Assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes

- The rights of the candidate are protected during and after the assessment
- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal
- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and Checklist for Assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing Checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

Prior to the assessment I have:	Tick (✓)	Remarks
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for Recording Competency

Specifications for Recording Competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for Different Assessment Methods

Specifications for Work Project Assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
 ■ You are required to complete these activities:
 a) *Using the 'X' method of assessment*
 b) *At 'X' location*
 c) *You will have 'X time period' for this assessment*
 ■ You are required to compile information in a format that you feel is appropriate to the assessment
 ■ Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment
- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):
"These oral questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.

We have 60 minutes for this assessment.

- I will give you feedback at the end of the assessment
- Do you have any questions about this assessment?”
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
- a) Ticking PC or NYC, as appropriate
- b) Entering ‘Remarks’ as required
- c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of ‘Written Questions’ for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a ‘X’ is identified, please input appropriate information):

“These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?”
- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date

- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency standard

UNIT TITLE: MANAGE FINANCIAL PERFORMANCE WITHIN A BUDGET		NOMINAL HOURS: 45
UNIT NUMBER: D1.HFI.CL8.03 D1.HFA.CL7.02 D2.TRM.CL9.09		
UNIT DESCRIPTOR: This unit deals with the skills and knowledge required to manage financial performance within a budget in a range of settings within the hotel and travel industries.		
ELEMENTS AND PERFORMANCE CRITERIA	UNIT VARIABLE AND ASSESSMENT GUIDE	
Element 1. Allocate <i>budget</i> resources 1.1 Allocate funds according to agreed priorities and adopt sound <i>financial management strategies</i> 1.2 Discuss with appropriate <i>colleagues</i> prior to implementation 1.3 Consult and inform all <i>relevant stakeholders</i> in relation to resource decisions 1.4 Promote awareness of the importance of <i>budget control</i> 1.5 Maintain detailed records of resource allocation in accordance with enterprise <i>financial procedures and systems</i>	Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment. This unit applies to managing financial performance within a budget within the labour divisions of the hotel and travel industries and may include: 1. Front Office 2. Housekeeping 3. Food and Beverage Service 4. Food Production 5. Travel Agencies 6. Tour Operation <i>Budget</i> may include: • Cash budgets • Departmental budgets	

Element 2. Monitor financial activities against budget 2.1 Check actual income and expenditure against budgets accurately and at regular intervals and prepare <i>financial and/or statistical reports</i> 2.2 Identify and report <i>discrepancies</i> according to enterprise policy and significance of deviation 2.3 Advise appropriate colleagues of budget status in relation to targets within agreed timeframes Element 3. Identify and evaluate options for improved budget performance 3.1 Assess existing costs and resources and identify areas for improvement 3.2 Discuss desired outcomes with relevant colleagues 3.3 <i>Research new approaches</i> to manage discrepancies 3.4 Undertake appropriate research to investigate new approaches 3.5 Define and communicate clearly the benefits and disadvantages of new approaches 3.6 Take account of impacts on customer service levels and colleagues in developing new approaches	• Wages budgets • Project budgets • Purchasing budgets • Sales budgets • Cash flow budgets • Budgets for a small business. <i>Financial management strategies</i> will vary between enterprises and may relate to differing requirements for: • Budgeting and forecasting • Reporting, depth, regularity, nature of reports • Control mechanisms • Specialist financial skills. <i>Colleagues</i> may include: • Co-workers • Supervisors • Finance department staff • Accountants. <i>Relevant stakeholders</i> may include: • Management • Owners • Board of directors • Strategic alliance partners.
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3.7 Present recommendations clearly and logically to the appropriate relevant stakeholders

Element 4. Complete financial/statistical reports

4.1 Complete all required financial and statistical reports accurately and within designated timelines

4.2 Produce clear and concise information to enable informed decision making

4.3 Forward reports promptly to the appropriate person/department

Budget control should relate to:

- Comparison of actual performance with budgetary performance
- Revision of budgets in the light of changed circumstances
- Changes in income and expenditure priorities.

Financial procedures and systems must address the following:

- Transaction recording
- Checking and reconciliation processes
- Banking procedures
- Invoicing
- Accounts payable
- Cash management and security measures
- Cash flow management
- Budget management
- Reporting requirements
- Taxation requirements
- Statutory requirements that apply to the specific business structure
- Sector specific requirements such as the travel compensation fund in retail travel.

Financial and statistical reports may relate to

- Daily, weekly, monthly transactions and reports
- Break up by department
- Occupancy
- Sales performance

	• Commission earnings • Sales returns • Yield management • Commercial account activity • Cash flow statements • Profit and loss statements • Balance sheets • Reconciliations. <i>Discrepancies may relate to:</i> • Data entry errors • Sales that should have had an invoice raised but by error did not • Goods not delivered but charged for • Posting errors including ▪ Posting of the wrong amount ▪ Omitting a posting ▪ Posting in the wrong column or ▪ Posting more than once. <i>Research new approaches may include:</i> • Discussions with existing suppliers • Sourcing of new suppliers • Evaluation of staffing/roster requirements • Review of operating procedures • Potential roster changes.
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Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

- Knowledge and understanding of budgets specifically how a budget is structured and how to interpret a budget
- Knowledge of any legislative requirements specifically related to disbursement of funds and record keeping
- Ability to apply techniques related to maximising budget performance relevant to the enterprise or industry sector
- Ability to use budgeting terminology relevant to the hotel and travel industries context
- Ability to comply with financial reporting procedures and cycles relevant to the hotel and travel industries context.

Linkages To Other Units

- Develop and implement business plans
- Develop and implement operational plans
- Plan and establish systems and procedures
- Prepare business documents
- Maintain financial standards and records
- Manage legal requirements for business compliance
- Manage physical assets and infrastructure
- Lead and manage people.

	Critical Aspects of Assessment Evidence of the following is essential: • Demonstrated ability to undertake detailed, thorough and appropriate analysis of both internal and external business environments to provide a sound basis for managing financial performance within a budget • Demonstrated ability to manage financial performance within a given budget • Demonstrated ability to read a given budget, identify discrepancies and suggest approaches to rectify • Demonstrated ability to collect and analyse financial performance information and to manage finances within a budget • Demonstrated ability to evaluate reports and apply the principles of budget management to different situations. Context of Assessment This unit may be assessed on or off the job: • Assessment should include practical demonstration of the ability to manage financial performance within budget in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge • Assessment must relate to the individual's work area, job role and area of responsibility • Assessment must include project or work activities that allow the candidate to respond to multiple and varying workplace issues relevant to work area, job role and area of responsibility that allow the candidate to demonstrate knowledge and awareness of managing financial performance within a budget. Resource Implications Training and assessment to include access to a real or simulated commercial workplace environment in which an operational budget can be managed; and access to workplace standards, procedures, policies, guidelines, tools and equipment.
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	Assessment Methods The following methods may be used to assess competency for this unit: • Case studies • Observation of practical candidate performance • Oral and written questions • Portfolio evidence • Problem solving • Role plays • Third party reports completed by a supervisor • Project and assignment work.		
	Key Competencies in this Unit <i>Level 1 = competence to undertake tasks effectively</i> <i>Level 2 = competence to manage tasks</i> <i>Level 3 = competence to use concepts for evaluating</i>		
	Key Competencies	Level	Examples
	Collecting, organising and analysing information	3	Analyse financial reports
	Communicating ideas and information	3	Express complex strategies in a clear and concise format
	Planning and organising activities	2	Co-ordinate stakeholder involvement in the process

	Working with others and in teams	2	Devise strategies to ensure team commitment to budget control
	Using mathematical ideas and techniques	2	Calculate deviations and effect of such deviations on financial performance
	Solving problems	3	Adjust strategies to respond to severe and sudden budgetary constraints
	Using technology	2	Identify and analyse the optimum use of technology to achieve business objectives; use accounting software

Oral questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage financial performance within a budget D1.HFI.CL8.03 D1.HFA.CL7.02 D2.TRM.CL9.09
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. On what basis have you allocated funds to budgets?	☐	☐
2. Describe the sound financial strategies you have adopted in relation to budgets/allocation of funds to budgets.	☐	☐

Questions	Response	
	PC	NYC
3. Who would you discuss budgets with when determining allocation of funds to them?	☐	☐
4. Describe how you have communicated to others the allocation of resources to budgets.	☐	☐
5. Give an example of how you have promoted awareness of budget control within a business.	☐	☐

Questions	Response	
	PC	NYC
6. What records of resource allocation do you maintain as part of the process of developing budgets?	☐	☐
7. Give me two examples of enterprise financial procedures and/or systems you have complied with when allocating funds/resources to budgets.	☐	☐
8. What do you do when checking actual income against projected income for a sales budget?	☐	☐

Questions	Response	
	PC	NYC
9. What documents would you use to assist you check actual expenditure against anticipated costs for a given period?	☐	☐
10. Give me three examples of budget discrepancies you have identified; what were they and how did you become aware of them?	☐	☐
11. How did you report/communicate the discrepancies identified in the answer to the previous question?	☐	☐

Questions	Response	
	PC	NYC
12. With what frequency do you think it is necessary to advise colleagues of the status of budgets for which you have responsibility? Why?	☐	☐
13. How do you identify actually costs charged against a budget which require attention to improve them?	☐	☐
14. Give me an example of action you have taken to improve an identified unacceptable budget cost.	☐	☐

Questions	Response	
	PC	NYC
15. What might be involved in discussing desired budget outcomes with others? What topics would you address and why?	☐	☐
16. Give me an example of action you might take to address unacceptable labour costs being incurred by a department/business.	☐	☐
17. Give an example of research you have undertaken to identify a new approach to budgeting which resulted in an improved budget situation.	☐	☐

Questions	Response	
	PC	NYC
18. Tell me about a situation where you recommended a new approach to budgeting; what were the benefits and disadvantages of the initiative?	☐	☐
19. How did you communicate the proposal identified in the answer to the previous question to 'relevant others'?	☐	☐
20. Give an example of how proposed changes to budget allocation may potentially negatively impact service provision and what you have done/could do to proactively address this situation.	☐	☐

Questions	Response	
	PC	NYC
21. How have you presented recommendations for action (such as allocation of funds, cost reductions, enhanced sales) to budgeting to 'relevant others'? Give an example.	☐	☐
22. What financial/statistical reports have you completed as part of your reporting and accountability process?	☐	☐
23. What timelines applied to the reporting identified in the answer to the previous question?	☐	☐

Questions	Response	
	PC	NYC
24. In your own words, explain the concept and role of 'Budget notes'.	☐	☐
25. How did you communicate the reports identified in your answer to Question 22 and who did you communicate with?	☐	☐

Written questions

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Student Name: _____

Answer all the following questions and submit to your Trainer.

1. Differentiate between a 'fixed' and a 'flexible' budget.

2. Identify 'relevant others' who may need to be involved in budget discussions, deliberations and negotiations.

3. Describe three ways to inform those concerned about budget allocations.

4. Give three reasons it is necessary/important to promote awareness of the importance of budget control within the business.

5. Identify five topics to be addressed when communicating the importance of budget control.

6. Name five income records that need to be kept for audit purposes and to provide documentary proof of figures entered into budget lines.

7. Name five expense records that need to be kept for audit purposes and to provide documentary proof of figures entered into budget lines.

8. Name five issues which must be addressed every time checks of budgets are undertaken.

9. What is the name of the financial statement which presents revenues, operating expenses and resulting profit and loss?

10. What are the three main sections on a Balance Sheet?

11. Name five financial/statistical reports which may be generated by a business and identify the information contained in each.

12. Identify three possible causes of budget discrepancies that are not specifically related to actual business performance.

13. In terms of budget management what is meant by 'management by exception'?

14. Describe five possible policies in relation to checking budgets and identifying and reporting discrepancies.

15. Give three reasons to notify others of budget status in relation to targets.

16. What is the common timeline for advising of budget results?

17. Identify three generic areas to which attention must be paid when assessing budgets/budget performance.

18. Give five possible reasons for reduced returns when assessing/evaluating budgets.

19. What are the seven elements of 'The Control Cycle'?

20. What are the only three options available when making adjustments to projected budget outcomes?

21. Name three 'relevant colleagues' who may be involved in discussions regarding budget performance.

22. Describe seven activities required/involved in discussions on desired budget outcomes/performance.

23. What four topics could/should be reviewed for unfavourable variances in cost of goods sold?

24. What four topics could/should be reviewed for unfavourable variances in sales?

25. Give four examples of the External Environment which impact on budget results/performance.

26. Identify three research techniques which might be used to provide feedback/data on which to base future action/responses to budget circumstances.

27. In your own words describe/define 'innovation'.

28. Describe three methods generally used to communicate benefits and disadvantages of new approaches to budgets/budget performance.

29. Identify three examples of content which should be addressed when communicating new approaches to budget management/performance.

30. Explain the importance of 'The Customer' to businesses.

31. What three phases need to be worked through in order to effectively introduce change to the workplace?

32. Identify three staff-related issues to be considered when preparing for workplace change.

33. Identify five points which should be addressed when making recommendations regarding improvements to budget performance.

34. Name five classifications of personnel to whom recommendation for budget improvement may need be presented.

35. Identify the three key reasons businesses produce operational reports for management.

36. Identify five basic elements of financial/statistical reports.

37. What are the three standard timelines which generally apply to the production of budget reports?

38. Identify one stakeholder who may seek to obtain financial/statistical reports of the business and describe the uses they put this information for.

39. What are the four key underpinning requirements all prepared reports must meet?

40. Describe five keys in ensuring the confidentiality of reports produced.

41. What does a 'Distribution Schedule' identify?

42. What does a 'Distribution List' identify?

Answers to written questions

Manage financial performance within a budget

D1.HFI.CL8.03

D1.HFA.CL7.02

D2.TRM.CL9.09

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

1. Differentiate between a ‘fixed’ and a ‘flexible’ budget.

Fixed budget

A fixed budget is one where the budget is prepared based on fixed revenue or other relevant levels of activity.

The budget does not look at any variations that might occur in trade (that is, increases or decreases in revenue or levels of activity) – the budget is prepared based only on one set of possibilities.

Flexible budget

The advent of computer programmes to assist in budgeting processes has seen an increase in the incidence of these budgets.

A flexible budget creates a number of different scenarios that could possibly arise in terms of revenue or other relevant levels of activity.

For example, the dining room may create a flexible budget based on different projections for patronage at, say, 50% of seats sold (given that we know the average sale per patron), 60%, and 70%.

2. Identify ‘relevant others’ who may need to be involved in budget discussions, deliberations and negotiations.

- Owners and senior management
- Accountants
- Legal advisors
- Bankers
- Investors
- Department managers and supervisors
- Workers.

3. Describe three ways to inform those concerned about budget allocations.

- At departmental meetings – where information is delivered verbally, face-to-face.
The information may be shared:
 - In a special meeting convened just for this purpose
 - As an agenda item within a normal/regular staff meeting
- Through all-staff meetings
- Via internal memos or emails
- Using paper-based documentation.

4. Give three reasons it is necessary/important to promote awareness of the importance of budget control within the business.

- Give insight into the operating parameters of the business
- Share targets to be achieved
- Let them know the business monitors and checks the performance of staff and cost/revenue centres
- Demonstrate respect for their understanding of these issues.

5. Identify five topics to be addressed when communicating the importance of budget control.

- Importance of allocating costs to correct budgets and budget lines – as per the Schedule of Accounts
- Need to allocate revenues to correct revenue centres – in accordance with correct Schedule of Accounts coding
- Necessity of obtaining authorisation prior to making purchases – in-line with internal protocols
- Need to complete required documentation – to assist in monitoring and tracking
- Requirement to regularly compare actual performance with budgetary performance – in order to:
 - Maintain awareness of actual business performance
 - Promptly identify and rectify posting errors
 - Enable appropriate corrective action to be taken at the earliest opportunity
- Need to review budgets in the light of changed circumstances – as this applies in relation to:
 - Internal and external causal factors
 - Sales and expenditure issues
- Changes to organisational priorities – as these may apply to:
 - Plans in relation to business direction, goals and objectives
 - Need for increased income
 - Need for decreased expenditure
 - Need to generate increased trade/turnover regardless of profit outcomes
 - Need to respond to opposition activities

- Importance of accuracy – when completing budget-related documentation
 - Need to forward information/data promptly – to others and/or administration so they can process it in a timely manner
 - Critical role played by budgets – in relation to:
 - The overall viability of the business
 - Job security
 - Growth potential.
- 6. Name five income records that need to be kept for audit purposes and to provide documentary proof of figures entered into budget lines.**
- Audit rolls – from cash registers
 - Daily takings sheets
 - Daily cash/cash receipt book
 - Individual accounts
 - Debtors ledger
 - Banking receipts.
- 7. Name five expense records that need to be kept for audit purposes and to provide documentary proof of figures entered into budget lines.**
- Purchase Orders
 - Delivery dockets, invoices and statements
 - Requisition sheets
 - Interdepartmental transfers
 - Creditors' ledger.
- 8. Name five issues which must be addressed every time checks of budgets are undertaken.**
- Determination of actual performance and outcomes against predicted performance/expected results
 - Evaluation of how different revenue and cost centres are performing
 - Identification of how much money has actually been spent
 - Identification of how much money is left/available to spend
 - Validation of income shown on revenue budgets
 - Validation of costs shown on expenditure budgets
 - Identification of warning situations.

9. What is the name of the financial statement which presents revenues, operating expenses and resulting profit and loss?

- Profit and Loss Statement/Income Statement/Statement of Financial Performance

10. What are the three main sections on a Balance Sheet?

- Assets
- Liabilities
- Owner's equity.

11. Name five financial/statistical reports which may be generated by a business and identify the information contained in each.

No model answer.

12. Identify three possible causes of budget discrepancies that are not specifically related to actual business performance.

- Data entry errors
- Sales without invoices
- Goods not delivered but charged for
- Posting errors.

13. In terms of budget management what is meant by 'management by exception'?

In most cases discrepancies are to be expected and can be effectively noted but otherwise ignored.

However where these deviations are 'significant' they must be acted on in accordance with whatever action is deemed necessary to retrieve/resolve the situation. This is where (in the context of talking about budgets), management only concerns itself with those figures which fall outside acceptable parameters – that is, figures which are the exception (to the rule).

14. Describe five possible policies in relation to checking budgets and identifying and reporting discrepancies.

- Frequency with which nominated budgets and reports need to be prepared and distributed for checking/analysis
- Frequency with which checks are to be made for nominated budgets and other reports/statements
- Processes/protocols for analysing the documents and statistics
- Basis for determining parameters which constitute notifiable deviations
- Timeframe within which notifications must be made
- Personnel/departments who must be informed
- Form of notification.

15. Give three reasons to notify others of budget status in relation to targets.

- Motivate others
- Acknowledge the work of others
- Keep others informed
- Allow others to learn lessons contained within the results.

16. What is the common timeline for advising of budget results?

Within 24 hours.

17. Identify three generic areas to which attention must be paid when assessing budgets/budget performance.

- Actual costs are exceeding projected costs
- Red flags have been raised
- Unacceptable trends are emerging/have emerged
- Unexplained costs have been identified.

18. Give five possible reasons for reduced returns when assessing/evaluating budgets.

- Theft –stock or cash
- Service staff giving serve sizes that are too big
- Staff undercharging customers or other staff
- Staff bringing in their own stock selling it and pocketing the cash
- Staff giving away stock
- Setting selling prices calculated on out-of-date cost prices
- Incorrect stock takes being done resulting in stock not being included in the stock take and hence not being attributed to the department
- Stock being transferred/taken from one department to another without the appropriate internal paperwork
- Where staff are entitled, according to house policy to a free 'knock off' drink or free staff meal, this privilege may be abused
- Excessive waste
- Inappropriate selling prices
- Failure to bill for all charges
- Failure to check deliveries.

19. What are the seven elements of 'The Control Cycle'?

- Purchasing
- Receival
- Storage
- Issuing
- Production
- Service
- Sales.

20. What are the only three options available when making adjustments to projected budget outcomes?

- Raise targets
- Lower targets
- Leave them as they are.

21. Name three 'relevant colleagues' who may be involved in discussions regarding budget performance.

- Owners and senior managers
- Middle-level managers and supervisors
- Administration and office staff with bookkeeping/accounting responsibilities
- Operational staff – who have responsibilities for:
 - Spending money on behalf of the business
 - Making sales and/or processing transactions for the organisation.

22. Describe seven activities required/involved in discussions on desired budget outcomes/performance.

- A special meeting with all relevant colleagues
- Presentation of figures and budgets
- Identification of the rationale/s which underpinned the establishment of allocations/projections
- Validation of the facts and figures as presented Explanation of the facts – describing how the current situation has occurred
- Comparison of results – to:
 - Previous periods
 - Other departments, branches, offices, revenue/cost centres or businesses
- Request for suggestions – to address the identified problem, unacceptable or out-of-control situations
- Recommendations for action – to address/retrieve identified situations.

23. What four topics could/should be reviewed for unfavourable variances in cost of goods sold?

- Purchase specifications
- Receiving and storing practices
- Issuing practices
- Production practices
- Front of House practices/wastage
- Bookkeeping.

24. What four topics could/should be reviewed for unfavourable variances in sales?

- Auditing internal controls around sales
- Reviewing quality of products being sold
- Analysing competition actions
- Reviewing marketing strategies
- Reviewing adequacy of initial forecast
- Reviewing adequacy of record keeping.

25. Give four examples of the External Environment which impact on budget results/performance.

- Economic conditions – such as decline in general economic outlook
- Changing legislation – such as new employment laws requiring increased labour cost
- Population change – such as reduced or increased numbers in the local area
- Fashion/taste changes – for example, a style of cuisine is no longer fashionable, or is becoming fashionable
- The appearance of a strong new competitor into the marketplace
- Opportunity available through the advent of new technology
- Synergies created as a result of new business partnerships/relationships
- Suppliers – which may require action to:
 - Determine if current suppliers can reduce their selling prices – or generate some cost-saving protocols (such as quantity-based discounts or standing orders)
 - Identify if new, lower-priced suppliers are available – to provide the same products at a lesser cost
 - Evaluate alternative lower-priced products – so the same suppliers provide different products/materials at a reduced cost
 - Discuss with them whether processing of certain items can occur on-site – as opposed to buying in pre-processed, and hence more expensive, products.

26. Identify three research techniques which might be used to provide feedback/data on which to base future action/responses to budget circumstances.

- Personal, targeted observation
- Questionnaires
- Panel interviews/focus groups
- Analysis of industry information provided by reputable industry sources
- Literature and internet research
- Discussion with others.

27. In your own words describe/define 'innovation'.

Answer must address:

- Innovation can be seen as:
 - Anything done for the first time
 - Revisions and improvements to existing.
- It is a process embracing concepts such as:
 - Initiative – being proactive and seizing the moment when a problem or opportunity presents
 - Invention – being creative in developing a new (or revised or improved) product, service or response to a given situation or set of circumstances
 - Initiation – implementing, monitoring, supporting and reviewing the new, revised or improved product, service or response.
- Innovation in the workplace is generally driven either by:
 - A problem, or
 - An opportunity.

28. Describe three methods generally used to communicate benefits and disadvantages of new approaches to budgets/budget performance.

- Written information – which may take the form of Hard copy handouts; Memorandum; Emails
- Verbal information – provided at Budget meetings; Specially convened meetings; Staff meetings; Management meetings
- Formal presentation – featuring Written information on boards; Handouts; Overhead slides or PowerPoint slides; Verbal explanations
- Training – which may comprise Theory; Practical demonstrations; Case studies; Exercises.

29. Identify three examples of content which should be addressed when communicating new approaches to budget management/performance.

- Rationale for the changes
- Identification of options considered but rejected
- Details of the new approach
- Schedule for introduction
- Support for the change
- Benefits and disadvantages attaching to the new approach
- Strategies/advice for dealing with identified potential customer disappointment/dissatisfaction
- Distribution of relevant documentation.

30. Explain the importance of 'The Customer' to businesses.

Answer must address:

- Without customers there is no business
- Customer determines what is good/acceptable and what is not
- Customers can spend their money anywhere.

31. What three phases need to be worked through in order to effectively introduce change to the workplace?

- Unfreezing the present situation/mind set
- Changing the situation to the way you want it to be
- Resetting the change into the established and accepted working routine of staff.

32. Identify three staff-related issues to be considered when preparing for workplace change.

- Training – is new/different training required?
- Hiring and firing – will new staff need to be employed, or existing staff made redundant?
- Rosters – what impact will the changes have on staffing the organisation?
- Amendments to:
 - Existing job descriptions
 - Roles and responsibilities
 - Scopes of authority
 - Organisational structure
 - Reporting
 - Internal communication.

33. Identify five points which should be addressed when making recommendations regarding improvements to budget performance.

- An overview of the position being faced – and some background to the problem/issue being addressed
- Explanation of the steps which have been taken – to investigate, research and illuminate the issue
- Detail of any collaboration that was undertaken as part of the research/investigation process – including co-operation from various areas, and input made from different sources
- An overview/outline of all the possible solutions which were identified – this should include relevant costs, any perceived difficulties with implementation (legislative problems; staff training requirements; alterations to policies, procedures and practices; changes to service times or standards)
- Presentation of preferred options and why they were chosen over the others identified above
- Detailed costings for the preferred options – together with timelines for implementation, identification of problems with implementation, and plans to overcome the identified problems
- A final paragraph urging the suggested recommendations – giving personal endorsement and noting expectation of unanimous support from others
- Attachments of relevant documentation the processes uncovered – such as:
 - Quotes
 - Written recommendations from others
 - Relevant extracts from pieces of legislation
 - Reports
 - Articles
 - Suppliers' data – terms of trade, purchasing guides.

34. Name five classifications of personnel to whom recommendation for budget improvement may need be presented.

- Senior management
- Owners
- Personnel manager
- Sales manager
- Finance manager
- Heads of departments
- Supervisors
- General staff.

35. Identify the three key reasons businesses produce operational reports for management.

- A communication link between management and staff – in an organisation where, say, the business operates 24 hours per day, seven days each week no-one can be there all the time so these reports provide one way of making sure everyone receives vital information they need in order to do their job
- An historical database – which builds into a useful management tool available to be used to assist with future deliberations and predictions
- Business data to managers – which can inform and assess operational performance against budgets.

36. Identify five basic elements of financial/statistical reports.

- A statement of purpose – identifying the type of report and its intention – so readers are clear about what each report is all about
- Subject topic – a note explaining the exact focus of the document
- The nature of the contributory evidence – explanation or verification of sources, information and the period used as the basis for the report
- A conclusion – a plan of action flowing from the evidence contained and logical in nature, formulated from the proof/facts provided in the report
- Identification as to who generated the report – together with its intended target audience (by individual names or positions/titles)
- Authorisation – an indication as to who has authorised the report.
- Date of the report – in terms of:
 - Date report was prepared
 - Period to which report relates.

37. What are the three standard timelines which generally apply to the production of budget reports?

- Daily
- Weekly
- Monthly.

38. Identify one stakeholder who may seek to obtain financial/statistical reports of the business and describe the uses they put this information for.

No model answer.

39. What are the four key underpinning requirements all prepared reports must meet?

- Accuracy
- Clarity
- Conciseness

- Time-relevance.

40. Describe five keys in ensuring the confidentiality of reports produced.

- Limiting the people involved in preparing the reports
- Training staff regarding the need to keep report information confidential
- Printing/producing only the required number of copies of reports
- Distributing reports strictly in accordance with the approved Distribution List for the report type – see below
- Protecting computers with passwords – and not disclosing same to others
- Requiring signing out and signing back in of confidential information
- Maintaining security of the office environment.

41. What does a ‘Distribution Schedule’ identify?

- Name of report to be prepared
- Reporting period covered by the report
- Date report is to be completed.

42. What does a ‘Distribution List’ identify?

- Personnel to receive report – by position and name
 - Distribution method to be used for each person – such as electronic or hard copy.
-

Observation checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage financial performance within a budget D1.HFI.CL8.03 D1.HFA.CL7.02 D2.TRM.CL9.09
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Allocate budget resources - Monitor financial activities against budget - Identify and evaluate options for improved budget performance - Complete financial/statistical reports - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Allocate budget resources		
Allocate funds according to agreed priorities and adopt sound financial management strategies	☐	☐
Discuss with appropriate colleagues prior to implementation	☐	☐
Consult and inform all relevant stakeholders in relation to resource decisions	☐	☐
Promote awareness of the importance of budget control	☐	☐
Maintain detailed records of resource allocation in accordance with enterprise financial procedures and systems	☐	☐
Element 2: Monitor financial activities against budget		
Check actual income and expenditure against budgets accurately and at regular intervals and prepare financial and/or statistical reports	☐	☐

Did the candidate	Yes	No
Identify and report discrepancies according to enterprise policy and significance of deviation	☐	☐
Advise appropriate colleagues of budget status in relation to targets within agreed timeframes	☐	☐
Element 3: Identify and evaluate options for improved budget performance		
Assess existing costs and resources and identify areas for improvement	☐	☐
Discuss desired outcomes with relevant colleagues	☐	☐
Research new approaches to manage discrepancies	☐	☐
Undertake appropriate research to investigate new approaches	☐	☐
Define and communicate clearly the benefits and disadvantages of new approaches	☐	☐
Take account of impacts on customer service levels and colleagues in developing new approaches	☐	☐
Present recommendations clearly and logically to the appropriate relevant stakeholders	☐	☐
Element 4: Complete financial/statistical reports		
Complete all required financial and statistical reports accurately and within designated timelines	☐	☐
Produce clear and concise information to enable informed decision making	☐	☐
Forward reports promptly to the appropriate person/department	☐	☐
Did the student's overall performance meet the standard?	☐	☐

Feedback to student and trainer/assessor**Strengths:****Improvements needed:****General comments:****Candidate signature****Date****Assessor signature****Date**

Third Party Statement

Student name:			
Name of third party:		Contact no:	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other Please specify: _____ Please do not complete the form if you are a relative, close friend or have a conflict of interest		
Unit of competency:	Manage financial performance within a budget D1.HFI.CL8.03 D1.HFA.CL7.02 D2.TRM.CL9.09		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			
Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response)</i>	Yes	No	Not sure
Allocates funds to meet agreed priorities following discussion and consultation with relevant others	☐	☐	☐
Promotes awareness of budgets within the business	☐	☐	☐
Monitors internal income and expenditure financial activities maintaining required records and reporting and advising as necessary	☐	☐	☐
Takes action to assess and control costs and fresh approaches to budgeting while retaining required service levels	☐	☐	☐
Investigates budget discrepancies	☐	☐	☐
Makes recommendations on outcomes and suggestions for improvements	☐	☐	☐
Compiles and distributes required financial/statistical reports to nominated persons	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:

Third party signature:

Date:

Send to:

Competency recording sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Manage financial performance within a budget	D1.HFI.CL8.03 D1.HFA.CL7.02 D2.TRM.CL9.09
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1: Allocate budget resources						
Allocate funds according to agreed priorities and adopt sound financial management strategies						
Discuss with appropriate colleagues prior to implementation						
Consult and inform all relevant stakeholders in relation to resource decisions						
Promote awareness of the importance of budget control						
Maintain detailed records of resource allocation in accordance with enterprise financial procedures and systems						

Element 2: Monitor financial activities against budget						
Check actual income and expenditure against budgets accurately and at regular intervals and prepare financial and/or statistical reports						
Identify and report discrepancies according to enterprise policy and significance of deviation						
Advise appropriate colleagues of budget status in relation to targets within agreed timeframes						
Element 3: Identify and evaluate options for improved budget performance						
Assess existing costs and resources and identify areas for improvement						
Discuss desired outcomes with relevant colleagues						
Research new approaches to manage discrepancies						
Undertake appropriate research to investigate new approaches						
Define and communicate clearly the benefits and disadvantages of new approaches						
Take account of impacts on customer service levels and colleagues in developing new approaches						
Present recommendations clearly and logically to the appropriate relevant stakeholders						

Element 4: Complete financial/statistical reports						
Complete all required financial and statistical reports accurately and within designated timelines						
Produce clear and concise information to enable informed decision making						
Forward reports promptly to the appropriate person/department						
Candidate signature:				Date:		
Assessor signature:				Date:		

